

HOUSE No. 1478

The Commonwealth of Massachusetts

PRESENTED BY:

Mike Connolly

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act advancing the Massachusetts social housing program.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	DATE ADDED:
<i>Mike Connolly</i>	<i>26th Middlesex</i>	<i>1/17/2025</i>
<i>James C. Arena-DeRosa</i>	<i>8th Middlesex</i>	<i>6/25/2025</i>
<i>Carmine Lawrence Gentile</i>	<i>13th Middlesex</i>	<i>6/25/2025</i>
<i>Natalie M. Higgins</i>	<i>4th Worcester</i>	<i>7/1/2025</i>
<i>Patricia D. Jehlen</i>	<i>Second Middlesex</i>	<i>6/25/2025</i>
<i>Lindsay N. Sabadosa</i>	<i>1st Hampshire</i>	<i>6/25/2025</i>
<i>Erika Uyterhoeven</i>	<i>27th Middlesex</i>	<i>7/8/2025</i>

HOUSE No. 1478

By Representative Connolly of Cambridge, a petition (accompanied by bill, House, No. 1478) of Mike Connolly relative to the development of mixed income social housing to be administered by the Massachusetts Housing Finance Authority. Housing.

[SIMILAR MATTER FILED IN PREVIOUS SESSION
SEE HOUSE, NO. 3873 OF 2023-2024.]

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act advancing the Massachusetts social housing program.

Whereas, The deferred operation of this act would tend to defeat its purpose, which is to authorize forthwith the further development of mixed income social housing, therefore it is hereby declared to be an emergency law, necessary for the immediate preservation of the public convenience.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. To provide for the purpose of facilitating the further development of mixed
2 income social housing, the sums set forth in section 2 for the several purposes and subject to the
3 conditions specified in this act are hereby made available, subject to the laws regulating the
4 disbursement of public funds.

5 SECTION 2.

6 EXECUTIVE OFFICE OF HOUSING AND LIVABLE COMMUNITIES

7 7004-XXXX For costs associated with facilitating the further development of mixed
8 income social housing to be administered by Massachusetts Housing Finance Authority or other
9 designee as provided for in section 5 of this act.....\$100,000,000

10 SECTION 3. Chapter 708 of the acts of 1966 is hereby amended by inserting after section
11 13B the following section:-

12 Section 13C. (a) There is hereby established within the MHFA a revolving fund, herein
13 referred to as the Social Housing Production Revolving Loan Fund, for the purpose of
14 facilitating the further development of mixed income social housing. The Fund shall consist of
15 amounts credited to the Fund in accordance with this section.

16 (b)(1) The MHFA shall, pursuant to regulations adopted by it, provide financial
17 assistance to local and regional housing authorities for the further development of mixed income
18 social housing. Housing developments financed under this section shall remain in public
19 ownership, which is defined as at least majority ownership or control by a local or regional
20 housing authority or other public or quasi-public entity, or in social ownership, which is defined
21 as at least majority ownership or control by tenants or mission-driven nonprofits, such as
22 cooperatives or community land trusts.

23 (2) (A) The MHFA shall provide for and administer revolving loans, bridge loans and
24 other credit instruments from payments from loans disbursed from the Fund and any other
25 monies, deposited into the Fund by the commonwealth and local and regional housing
26 authorities, including any direct funding or loan repayments pursuant to the Social Housing Pilot
27 Program authorized in line 7004-0078 of Chapter 150 of the Acts of 2024.

(B) The MHFA may use monies and payments from loans disbursed from the Fund, deposited into the Fund by the commonwealth or local and regional housing authorities for the purposes of debt service, administration of this section and costs for increased development capacity within local and regional housing authorities.

(3) Upon lease-up of a development financed under this section, the MHFA may provide additional financing pursuant to this act; provided, however, that priority shall be given to developments that do not use Low Income Housing Tax Credit equity and tax-exempt volume cap.

(c)(1) The MHFA shall make the following rental determinations for each housing development financed by MHFA: (i) market rate rental units in the development; and (ii) below market rate rental units that meet or exceed federal Title 42 affordable set-asides of no less than 20 per cent at 50 per cent of the area median income or no less than 40 per cent at 60 per cent of area median income for the statistical area in which the development is to be constructed.

(2) Below market rental units set at the elected levels pursuant to paragraph (1) shall remain restricted at elected levels for not less than 99 years.

(3) Developments financed by the MHFA pursuant to this section shall, pursuant to regulations adopted by the MHFA, adopt rent stabilization guidelines.

(4) Developments financed by the MHFA pursuant to this section shall target net zero energy performance standards and shall not include any new gas hookups.

(5) Developments financed by the MHFA pursuant to this section shall allow for community control; for the purposes of this subsection, “community control” shall mean that

said developments are developed, owned, managed, and operated in a way that is accountable to residents, the community, and the public; provided further, that residents of said developments shall have a direct role in the management and decision-making relative to their buildings, including through recognition of tenant unions or tenant councils.

SECTION 4. The commonwealth shall issue a bond or bonds in an amount of \$100,000,000 to capitalize the Social Housing Production Revolving Loan Fund established in section 13C of chapter 708 of the acts of 1966. Any such bond sale shall be for taxable bonds. Upon receipt of any bond proceeds the treasurer shall deposit said funds into the Social Housing Production Revolving Loan Fund established in section 13C of chapter 708 of the acts of 1966.

SECTION 5. Notwithstanding any general or special law to the contrary, the Executive Office of Housing and Livable Communities may designate an alternate state agency or state authority, as those terms are defined in section 1 of chapter 29 of the General Laws, to administer the Social Housing Production Revolving Loan Fund and the social housing program pursuant to section 13C of chapter 708 of the acts of 1966. The executive office may promulgate regulations to implement this section.

SECTION 6. To meet the expenditures necessary in carrying out item 7004-XXXX of section 2, the state treasurer shall, upon request of the governor, issue and sell bonds of the commonwealth in an amount, in the aggregate of \$100,000,000. All such bonds issued by the commonwealth shall be designated on their face, Massachusetts Social Housing Program Act of 2025, and shall be issued for a maximum term of years, not exceeding 30 years, as recommended by the governor to the general court pursuant to section 3 of Article LXII of the Amendments to the Constitution. The bonds shall be payable not later than June 30, 2060. All interest and

71 payments on account of principal on these obligations shall be payable from the General Fund.
72 Bonds issued under this section and interest thereon shall be general obligations of the
73 commonwealth.

74 SECTION 7. Notwithstanding any general or special law to the contrary, MHFA may
75 enter into partnerships with (1) other quasi-governmental agencies; (ii) mission-driven non-
76 profits; (iii) housing cooperatives; and (iv) community land trusts for the purposes of facilitating
77 or assisting with the production of mixed-income social housing and the purposes of this act.

78 SECTION 8. (a) Notwithstanding any general or special law to the contrary, any project
79 of construction and development activity pursuant to this act shall be deemed to be a public work
80 under section 26 of chapter 149 of the General Laws and shall be subject to all laws, rules and
81 regulations related to the payment of wages at rates set by the director of the department of labor
82 standards pursuant to said chapter 149.

83 (b) Notwithstanding any general or special law to the contrary, any contract for
84 construction, reconstruction, installation, demolition, maintenance or repair of any building for
85 the purposes of development of social housing pursuant to this act shall be subject to public
86 procurement and bidding laws, including section 44A to section 44J, inclusive, of chapter 149 of
87 the General Laws.